



1.

'When the exchange rate of a country's currency causes problems, it may be down to free market forces, but government intervention might be to blame.'

Explain **three** possible determinants of a country's exchange rate against other currencies.

[15 marks]

2.

The European Union Context Extract D (lines 28–29) states that it 'is difficult to predict what the economic impact on the UK might be should there be a break-up of the eurozone'.

Using the data and your economic knowledge, assess the possible impact on the UK economy if a number of countries leave the eurozone.

[25 marks]

3.

Using **The European Union Context Extract C**, calculate the price in dollars of a good exported from the eurozone to the US at the start of 1999 priced at 20 euros **and** identify **one** significant feature of the dollar/euro exchange rate for the period 1999 to 2011.

[2 marks]

**THE EUROPEAN UNION CONTEXT****Extract D: Can the eurozone survive?**

Before the global recession of 2008, the euro had emerged as a successful major currency, making travel and trade for member countries much easier. Those countries traditionally with weaker currencies, such as Italy, Greece and Spain, were given a degree of stability which fostered economic growth. Some leading economists and politicians were urging the UK to adopt the euro, seeing it as a major step towards the full integration of the UK into the European Union (EU). 1 5

The global recession changed everything. By 2011, there were many in the UK relieved that we were still outside the eurozone. The growing debt crisis in the eurozone has inevitably had repercussions for the euro. Stronger members found themselves being called upon to offer financial support to those economies in trouble. Media reports began to suggest that the ultimate outcome of the debt crisis would be the break-up of the eurozone, with some of the weaker members such as Spain, Italy and Greece re-adopting their former national currencies. 10

The UK Government has adopted a policy of fiscal restraint in order to reduce annual borrowing and to try to limit the growth of the National Debt (the total outstanding debt of the government). It urged the weaker members of the eurozone in particular to adopt a similar policy if they were to retain membership. 15

However, the potential benefits of leaving the eurozone are not lost on some politicians and economists within the weaker economies. One such benefit is the absence of the same 'one-size-fits-all' interest rate. For example, some countries still in recession in the eurozone saw their interest rates, as set by the European Central Bank, rise to 1.25% in July 2011. This was at a time when the Bank of England kept the UK Bank Rate at 0.5%. Countries could also restore an exchange rate for their own currencies which would give them a competitive edge, rather than being forced to cut wages and jobs. They would also not be obliged to follow such a strict policy of fiscal restraint which remaining members would have to follow. 20 25

There are others, however, both within these countries and beyond, who warn against departure from the eurozone. It is difficult to predict what the economic impact on the UK might be should there be a break-up of the eurozone. The impact would depend on a number of factors, including how many countries left and which countries these were. It might also depend on the degree of economic instability which departure from the eurozone might cause in those countries as they restored their national currencies, and the impact on the stability of the remaining members of the eurozone. It has to be borne in mind, however, that the EU would still exist. 30

The UK might expect disruption to trade, at least in the short term, with consequences for the balance of payments. Another banking crisis could also emerge. International money, seeking a safe haven, might favour the pound sterling and thus strengthen its external value. These potential developments have implications for UK growth and employment and pose yet another threat to the current recovery. The UK might be relieved to be outside the eurozone. However, the UK is certainly not immune from the possible consequences of its break-up. 35 40

Source: European Central Bank, 2012

5.

THE EUROPEAN UNION CONTEXT

Extract C: The US\$/euro exchange rate, 1999 to 2011



Source: European Central Bank, 2012

6.

'When the exchange rate of a country's currency causes problems, it may be down to free market forces, but government intervention might be to blame.'

Assess the importance of a floating exchange rate to a country trying to achieve macroeconomic stability.

[25 marks]



7.

The table below shows the effective exchange rate index for Country X in 2010 and 2012 (2012 = 100).

Year	Effective exchange rate index
2010	125
2012	100

All other things being equal, which one of the following options provides both the correct percentage change in the index from 2010 to 2012 and a valid reason why this change may have occurred?

	Change in exchange rate	Reason	
A	20%	An increase in interest rates in Country X	☐
B	20%	An increase in interest rates in other countries	☐
C	25%	An increase in interest rate in Country X	☐
D	25%	An increase in interest rates in other countries	☐

[1 mark]

8.

The European Union Context Extract E (lines 20–22) states: ‘...it becomes very difficult to further stimulate domestic demand as real interest rates approach zero. On the other hand, low interest rates contributed to the Swedish currency, the Krona, falling sharply in value...’.

Explain the term ‘real interest rates’ **and** analyse why low interest rates may lead to a fall in the value of a currency on the foreign exchange market.

[9 marks]

9.

Globalisation and outsourcing of manufacturing provides several potential benefits to economies. However, some countries, such as the UK, continue to suffer persistent trade deficits but are unable to resort to import controls.

Explain how the UK Government could reduce a balance of payments deficit on the current account, other than through the use of import controls.

[15 marks]

**10.**

Although international trade has benefited UK consumers greatly over the last century, improvements in transport mean it is becoming more difficult for UK firms to compete against low-cost foreign producers.

Discuss the view that protectionist policies should be introduced to protect UK firms.

[25 marks]**11.**

THE EUROPEAN UNION CONTEXT

Extract E: Sweden's economic fortunes

Only a few years ago, the Riksbank (the central bank of Sweden) was the envy of the world. The Swedish economy was a star performer early in the global recovery following the 2008 economic crisis. Sweden's economy grew three times faster than the Eurozone's in 2010. Even better, the Riksbank felt confident enough in recovery to start raising interest rates. Its main interest rate reached 2% by July 2011, while rates in most other rich economies stayed nearer to zero. 1 5

However, some economists argue that, from the beginning, Sweden's interest rate increases looked premature. When the first rate increase came, unemployment stood at 8.2%, while the inflation rate was 1.1%, well below the central bank's target. Concerns about financial stability influenced the decision to maintain higher interest rates, even though economic conditions deteriorated. The Riksbank was worried that rising household borrowing and soaring house prices could lead to adverse consequences in the long run. Yet the strategy did not go as planned and no doubt contributed to deflation in 2013. 10

Unemployment in Sweden has remained high and private sector debt as a share of GDP is higher now than it was in 2010 but, at the same time, house prices have continued to climb. In October 2014, the Riksbank announced it was cutting its main interest rate to zero in an effort to stimulate the economy. 15

However, the effectiveness of the central bank's ability to respond to avoid deflation is a concern because it becomes very difficult to further stimulate domestic demand as real interest rates approach zero. On the other hand, low interest rates contributed to the Swedish currency, the Krona, falling sharply in value, which helped exports and provided some cushion against weak global demand and further deflation. 20

Source: news reports, 2014

12.

Although international trade has benefited UK consumers greatly over the last century, improvements in transport mean it is becoming more difficult for UK firms to compete against low-cost foreign producers.

Explain why international trade has benefited UK consumers.

[15 marks]

**13.**

Many people were surprised when UK unemployment fell during 2013. The government's policy of deficit reduction was expected to prevent significant falls in unemployment and some called for the government to reverse its policy of planned cuts in expenditure.

Evaluate the view that a policy of budget deficit reduction will make it harder to reduce unemployment further.

[25 marks]**14.**

In May 2014, the European Central Bank (ECB) President, Mario Draghi, warned that there was a risk of deflation across economies in Europe.

Explain why deflation may occur in an economy.

[15 marks]**15.**

Using the data in **Economic Growth and Development in Africa Extract A**, calculate, to the nearest £, the real GDP per capita of the UK in 2012 in pounds, assuming the pound to dollar exchange rate was £1 = \$1.70.

[2 marks]**16.**

Economic growth and development in Africa

Extract A: Macroeconomic indicators for UK and selected African economies, 2012

Economy	Real GDP growth (% change on previous year)	Real GDP per capita (\$)	Life expectancy (years)	Rural population access to improved water source (%)
UK	0.7	36 617	82	100
Central African Republic	4.1	932	50	76
Egypt	2.2	10 686	70	99
Ethiopia	8.6	1 240	63	42
Zambia	6.7	3 678	57	49

Source: official statistics, accessed on 29 June 2014

**17.**

Over a period of time, the value of the pound against the US dollar changes from £1 = \$2.00 to £1 = \$1.50. All other things being equal, this is most likely to result in

- A UK products becoming more expensive in the US. ☐
- B a downturn in the UK's economic cycle. ☐
- C a higher inflation rate in the UK. ☐
- D an increase in the UK's budget deficit. ☐

[1 mark]**18.**

In 2014, the UK's contributions to the European Union (EU) budget rose by £2.7bn, making it the second largest net contributor. However, it is argued that the UK benefits much more from the trade and the job creation that EU membership brings.

Evaluate the extent to which individuals and firms in the UK benefit from membership of the EU.

[25 marks]**19.**

Government policy Extract F (lines 14–17) states 'Investment forecasts are being revised downward and on top of speculation of interest rate rises and criticism of the UK's quantitative easing programme, the outlook is not looking as good as forecasts first indicated.'

Using the data in the extracts and your economic knowledge, evaluate the effectiveness of monetary policy in achieving macroeconomic stability in the UK.

[25 marks]

Extract F: Austerity remains

The Chancellor, George Osborne, has ruled out the possibility that the UK's improving economy will lead to immediate tax cuts or spending increases when he said reducing the budget deficit would be the priority of his Autumn Statement. The Chancellor said that the UK was still borrowing too much and that any increase in tax revenues generated from faster growth would be used to reduce the budget deficit and the national debt.	1
The move comes as no surprise, with the Chancellor stating, "I would just remind everyone that I still sit down at the table at the G20 with one of the highest budget deficits. The UK still continues to have some very serious public finance challenges that need to be addressed."	5
This week, the IMF revised up its forecasts for UK growth in both 2013 and 2014, six months after its chief economist, Olivier Blanchard, warned Osborne that he might cause more damage with his austerity plan. However, Osborne responded, "We have a clear plan and we are sticking to that plan."	10
The Chancellor's announcement may not be good for UK firms. It is common for business investment to lead the way when emerging from recession, but not this time. Investment forecasts are being revised downward and, on top of speculation of interest rate rises and criticism of the UK's quantitative easing programme, the outlook is not as good as forecasts first indicated.	15
In explaining its forecast downgrades for net investment over the last three years, the Office for Budget Responsibility (OBR) cites two main factors. Firstly, problems in credit markets have made it difficult for firms to borrow to invest. This may have particularly affected small and medium-sized firms that tend to be more reliant on bank financing. This will only be made worse if interest rates rise. Secondly, the uncertainty generated by the eurozone crisis and other events has stifled investment.	20

Source: News reports, 2013